Monetary Policy

· How banking system works ?

Bank
- Liability
- Asset

NDTL

· Net demand and Time Liability.

(RBI keeps a part of your NDTL as a reserve)

CRR

cash reserve ratio → 4 %

Money multiplier

· A maximum amount of new money created by banks for every dollar of reserve

$$MM \propto \frac{1}{CRR}$$

Reserve

Cash Reserve
- → Reserve in the form of cash
- → Banks do not earn any interest rate on CRR

Statutory liquidity Ratio
- → Reserve in the form of cash, gold, G-sec
- → Banks earn interest rate on SLR, Profit is obtained

Liquidity

more ↑ Cash
hold chain
Property ↓ Less

Inflation
Deflation → (RBI) → Regulates money supply in the economy.

↓

Monetary policy

↓ with (use of some tools)

Monetary policy tools

Monetary policy commitee (MPC)

↳ on reccomendation of Urjit Patel commitee

6 Members

3 → RBI
- RBI Governor
- Deputy Governor
- Executive

3 → Government

Monetary Policy Tools

Quantitative Tools | Qualitative tools

- Bank rate
- Open market operations
- Marginal standing facility